Hong Kong Institute of
Certified Public Accountants
香港會計師公會

Qualification Programme Examination Panelists' Report

Module 14 – Taxation
(June 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case involved an overseas investor holding a Hong Kong company engaged in an e-book distribution and sub-licensing business in Hong Kong. The company experienced a substantial change in its operating structure leading to possible change in its tax position.

Topics covered in this section included characterization of income, source of income, deductibility of overseas tax paid, determination of business carried on in Hong Kong, and transfer pricing compliance. Most of the topics tested, such as tax credit computation, were common in past examination papers, thus balancing the overall difficulty level of questions in this section.

Information given in the case was carefully selected to ensure candidates were focused on the topics being tested and to facilitate their thinking process. Candidates were expected to make good use of the case information to support their tax analysis and conclusion, which is the key to scoring high marks. Candidates are reminded not to merely copy studying materials without proper analysis based on the case information, as doing so will result in scoring low marks.

To achieve good performance in this section, candidates are suggested to read the question requirements carefully, extract the relevant information, and critically consider how it can be applied.

Specific Comments

Question 1(a) – 6 marks

This question required candidates to characterize the nature of the download fee and sub-license fee incomes. Similar topics have been tested in past examinations but not as in depth as in this examination. The general performance of candidates was satisfactory, and many candidates scored full marks. Unfortunately, some candidates performed analysis on the source of income, which was irrelevant to the question, and thus scored no marks for this otherwise straightforward and simple question. Candidates are reminded to read the question requirements carefully before answering.

Question 1(b) – 8 marks

This question followed Question 1(a) by requiring candidates to apply the above answers to analyse the source of the download fee and sub-license fee incomes. The topic of source of income has appeared in past examinations several times, thus most candidates were very familiar with the approach needed to tackle this type of question. Many candidates scored full marks and obtained satisfactory results. However, some candidates wrote extensively, which may have negatively impacted their performance in the following questions due to time constraints.

Question 2(a) – 4 marks

This question required candidates to comment on the tax deductibility of the overseas tax paid under s.16(1) of the Inland Revenue Ordinance ("IRO"), highlighting that other tax provisions should not be considered. Nonetheless, many candidates focused their answers on other provisions of the IRO or even on tax relief under tax treaty, which was not asked. Performance was thus diverse.

Question 2(b) – 8 marks

This question required candidates to explain tax relief under tax treaty when double taxation has arisen, plus calculation of tax liability with tax credit relief. Although this is a common examination topic, candidates' performance was diverse. Some candidates scored very high marks by following the computation method as suggested in answers to previous examinations, whilst other candidates, for unknown reasons, failed to provide tax relief analysis with meaningful calculations or even skipped this question. Candidates are suggested to study past examination papers and revise suggested answers.

Question 3(a) – 6 marks

This question required candidates to digest case information relating to pre-and post-restructuring operation, draw a comparison, and then critically analyse the issue of carrying on business in Hong Kong. This is not a simple question as the operation post-restructuring was very limited; thus, candidates who were able to focus their analysis on the server located in Hong Kong were more likely to come to the correct conclusion and score high marks. Other candidates who missed this important information (as mentioned in Item (d) of the case information) found themselves in a difficult position to perform a proper tax analysis, and some candidates even went in the wrong direction of analysing the source of income. Performance of candidates was generally not satisfactory.

Question 3(b) – 4 marks

This question required candidates to specifically comment on the deduction of foreign tax paid under s.16(1)(ca) of the IRO in a double taxation situation. Whilst this topic is new to candidates, the question requirements followed a step-by-step approach to examine the conditions in this IRO provision by applying the case information. Many candidates scored almost full marks by simply quoting the conditions for tax deduction and citing the relevant case information. Candidates are reminded of the importance of reading the questions carefully as a number of candidates failed to focus their answers on commenting on s.16(1)(ca), thus writing irrelevant answers and scoring no marks. Performance of candidates was diverse.

Question 3(c) – 6 marks

This question required candidates to discuss the Inland Revenue Department ("IRD")'s expectation regarding related party transactions and the related compliance requirements from a transfer pricing perspective. Whilst most candidates provided general comments on the above, very few candidates commented on the reasonableness of the fee by reference to the pre-restructuring's expenditure level. Most candidates also failed to further speculate on the underlying intention of the fee arrangement. Performance of candidates was generally less than satisfactory.

Question 4(a) – 4 marks

This question required candidates to give the correct tax compliance procedures with respect to license fee payments to non-residents. Though this topic has appeared in past examinations, and the question specifically referred to the findings given in the final part of the case, many candidates wrote irrelevant answers, including objection, correction of assessment, records keeping, etc., thus scoring low marks. Performance of candidates was unsatisfactory.

Question 4(b) – 4 marks

This question required candidates to suggest controversial issues from a professional ethics perspective. Most candidates provided generic comments and scored reasonable marks; however, candidates were expected to discuss the historical non-compliance event and corresponding client's reaction before turning to the more specific risk assessment and control measures. Unfortunately, very few candidates were able to meet this expectation. Performance of candidates was generally less than satisfactory.

(II) Section B – Essay/Short Questions

General Comments

This section included questions on different areas of salaries tax, property tax, personal assessment, stamp duty, and tax administration. In general, candidates scored satisfactory marks in computation questions and fair marks for technical questions on fundamental tax issues. On the other hand, candidates performed unsatisfactorily in practical question and in topics on qualifying deferred annuity policy ("QDAP"), voluntary health insurance scheme ("VHIS"), domestic rent, and stamp duty in relation to s.24 of the Stamp Duty Ordinance ("SDO") and a series of transactions. This may have been due to these topics rarely or never being tested in previous examinations. To achieve good performance in this section, candidates are reminded to have balanced knowledge of both fundamental tax issues and the latest tax developments in the past few years.

Specific Comments

Question 5 – 12 marks

This question required candidates to write a tax advisory email regarding the source of director fee. Many candidates cited relevant case laws, applied them to the given facts, and arrived at the conclusion that the director fee was sourced in Hong Kong. However, only a few candidates correctly pointed out that s.8(1A)(b) of the IRO was only applicable to income from employment but not to income from office. The majority of candidates were aware of the format and structure of writing an email and thus earned reasonable marks in communication skills. Overall, candidates' performance was fair.

Question 6(a)(i) – 3 marks

This question required candidates to advise on the tax treatment on medical expenses under salaries tax. Many candidates performed well and scored full marks in this question. Candidates' performance was satisfactory.

Question 6(a)(ii) – 2 marks

This question tested the candidates' knowledge of QDAP. This was the first time this topic was tested, and the IRD has issued practice notes on this topic. Some candidates drew the correct conclusion that no deduction would be allowable given that the policy holder was not the taxpayer nor the taxpayer's spouse, thus scoring full marks. Many candidates erroneously deduced half of the amount paid was deductible. Some candidates even analysed the question from s.12(1)(a) of the IRO and thus failed to score any marks. Performance on this question was diverse.

Question 6(b) – 9 marks

This question required candidates to prepare salaries tax computations for a taxpayer and his spouse. As most of the items were straightforward, the vast majority of candidates scored reasonable marks. However, similar to the prior year's session, many candidates were not aware that the deduction ceiling for domestic rent was reduced in proportion to the contractual period of the lease that overlapped with the year of assessment. Moreover, very few candidates were able to correctly allocate the amount of VHIS paid under s.26K(2) of the IRO. Candidates are reminded to build up their tax knowledge on topics that were introduced in the past few years. Overall, candidates' performance on this question was satisfactory.

Question 6(c) – 2 marks

This question required candidates to prepare a property tax computation. Again, this was a straightforward question, and most candidates had no issues in this area and thus scored full marks.

Question 6(d) – 4 marks

This question continued on from the answers in Questions 6(b) and 6(c) and required candidates to compute a personal assessment computation and to advise on whether it was advantageous for the taxpayer to elect personal assessment. For unknown reasons, many candidates did not attempt this question and therefore lost the opportunity to score marks. For those who attempted the question, some misunderstood the question requirements and computed a joint personal assessment for the taxpayer and his spouse. Some candidates concluded that it was not advantageous to elect for personal assessment but did not compare the amount of tax payable under different types of tax. Candidates' performance on this question was unsatisfactory.

Question 6(e) – 3 marks

This question required candidates to advise on the tax obligations when a taxpayer was about to leave Hong Kong. The majority of candidates correctly citied s.51(7) of the IRO and mentioned the timeframe to notify the IRD, but they did not advise on other obligations. A few candidates mentioned cessation of employment, or penalty, which were irrelevant. Performance on this question was less than satisfactory.

Question 7(a) – 4 marks

This question required candidates to compute the amount of stamp duty for a lease with premium and rent. Whilst most candidates correctly identified the maximum amount of rent that should be used to compute the stamp duty, the majority of candidates failed to take into account the rent-free period in the calculation. A few candidates applied the incorrect stamp duty rate for a lease period not exceeding 3 years. Overall, candidates' performance was satisfactory.

Question 7(b) – 4 marks

This question required candidates to demonstrate their knowledge on s.24 of the SDO. Although many candidates correctly computed the amount of stamp duty, many candidates did not analyse the facts by applying the tax provision. Thus, performance on this question was less than satisfactory.

Question 7(c) – 7 marks

This question tested candidates' knowledge and ability to analyse whether two transactions effected by two instruments formed part of a larger transaction or a series of transactions and to apply the correct rate of stamp duty to each instrument. Only a few candidates correctly identified the issue tested in this question and proceeded to analyse whether the two transactions formed part of a larger transaction. Some candidates mistakenly quoted s.29AK or s.29BC of SDO, which were applicable only when one instrument was relating to a residential property and a car parking space. Moreover, a large number of candidates did not attempt this question. Candidates' performance in this question was poor.

(III) Conclusion and Recommendation

Candidates performed better in computational questions, while analytical questions, especially in-depth analyses, remained a challenge for many candidates. To obtain better results, candidates should construct a comprehensive skeleton when answering analytical questions allocated substantial marks, beginning with relevant statutory provisions and legal principles. They should then logically apply the provisions and legal principles to the facts of the questions and draw conclusions based on this analysis.

Candidates are encouraged to exercise good time management and to attempt all questions, even those they are unfamiliar with.